HUGGIES

Little Wonders, Big Impact

Huggies Ecommerce in 2024

Prepared by MINDSHARE

Agenda

1. Background & Problem Statement
2. Marketing Objective & Our Challenge
3. Results/ Business Impact
4. Insight & Strategy Approach
5. Creative Ideas & Execution

BACKGROUND & PROBLEM STATEMENT

Huggies in 2023 is slowing down compared to the YoY growth of cate

- Huggies grew slower than the category, which saw 18% growth, in 2023
- Huggies take 28% market share, trailing behind Bobby, and faces increasing competition from hand-carried products

	Retail Value in 2023 VND billion	%YoY Growth 2023
Category	18,989	9.1%
HUGGIES	5,328	7.4%

Huggies is the latecomer on the race of social commerce

In 2023, as social commerce gained momentum, many brands in the M&B category, such as Bobby and Nutifood,... joined and explored TikTok Shop. However, Huggies did not yet have an official store on the platform at that time.

Social Commerce gained momentum in 2023

Huggies made the bold decision in their strategy when...

Prioritize digital commerce investment
& become No.1 Brand on total cate D-com sales

Reallocate a substantial portion of the budget from branding initiatives to digital commerce, prioritizing this channel as the primary driver of market share growth

HOW CHALLENGING FOR MINDSHARE TO DELIVER CLIENT'S EXPECTATION

Huggies need to grow faster than category growth

464Bvnd Paid GMV with the Higher ROAS

+ 80% vs 2023 **+ 25% vs 2023**

And build a top-tier presence on TikTok Shop from the ground up, with the target of Paid GMV exceeding the current top 1 shop's revenue in M&B cate

52Bvnd Paid GMV with the ROAS required at 8.5

BUT LOOK AT WHAT WE ACHIEVED IN 2024

608Bvnd Paid GMV

+ 135% vs 2023

Moreover, ROAS in 2024 uplifted 28% on total eCom & So-com investment.

Within eCom specifically, ROAS grew by 58% YoY

Maintain leadership on E-commerce

- Top 1 brand across pure players (Shopee, Lazada, Tiki)
- **+103%** Paid GMV vs 2023

Successfully accelerate on TikTok Shop

- MoM grow continuously
- **+ 231%** Paid GMV in H2 vs H1
- In August, for the first time Huggies became **TOP 1 highest-grossing brand** in Baby Diaper Category on Tiktok Shop (Younet)

Rapid Premiumization

- Gain **184B** Paid GMV of Nature Made & Skin Perfect
- **Contribute 30%** total paid GMV **vs 14% in 2023**

Especially, a $36,000 bonus was successfully gained for the highest GMV target milestone being achieved.

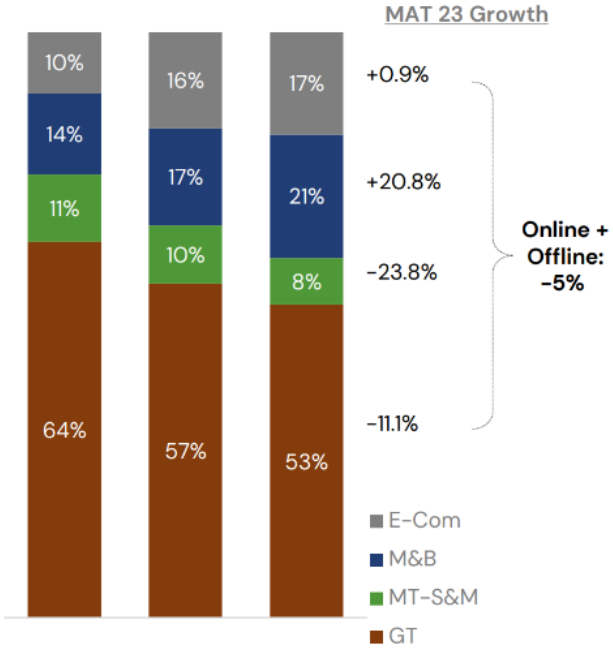
Beginning from uncovering insights and defining key areas to tackle

Catch the trend of shifting shopping behavior to online & social commerce

Winning the first-time mom (GenZ mom) can increase the brand's customer lifetime value

Ecom & M&B are the only growing channels

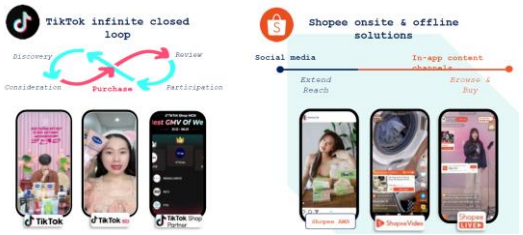
BCC- Channel Contribution



Data ending in Jun'23

Shoppertainment

Although it existed previously, Shoppertainment truly exploded in Vietnam with the arrival of TikTok Shop. Furthermore, Shopee also began developing its so-com.



Affiliate Network

Exploding in popularity since the COVID-19 pandemic, Lazada was the initial platform to lead this trend. However, Shopee and TikTok Shop have now overtaken it with faster growth rates, thanks to their implementation of Shoppertainment.

The power of habit & inertia

Consumer habits, especially those formed early on, are powerful. **First-time mothers** who find a diaper that suits their baby tend to stick with it unless a strong reason motivates them to switch.

Who match with the first-time mom?

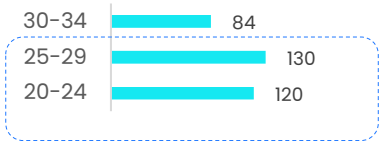
Female avg. marriage age, mostly are Gen Z

24 Years old

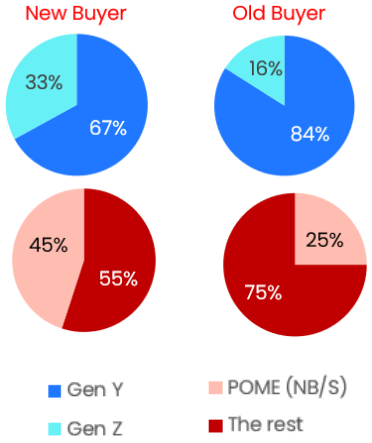
21.6 – **27.5**

Lai Chau (Lowest) — *South-East (Highest)*

Birth rate per 1000 women



Audience profile of Huggies buyers on Shopee



Gen Z have high match rate with first-time-mom, which is est. higher than 87%

Strategic Approach

TO ACHIEVE CLIENT'S EXPECTATION, WE DECIDED TO

1

Enhance Huggies dominant on Ecommerce

Maintain Huggies leadership across pure players include Shopee, Lazada & Tiki by keep leverage current best practice & enhance brand dominant by create more sale occasions & brand visibility

2

Accelerate on Tiktok Shop & Winning first-time mom

Accelerate on the race of social commerce by prioritizing exploration and rapid growth on TikTok Shop. Given TikTok's predominantly young, Gen Z audience, succeeding on this platform is crucial for capturing first-time moms.

STRENGTHEN HUGGIES'S LEADING POSITION ON E-COMMERCE

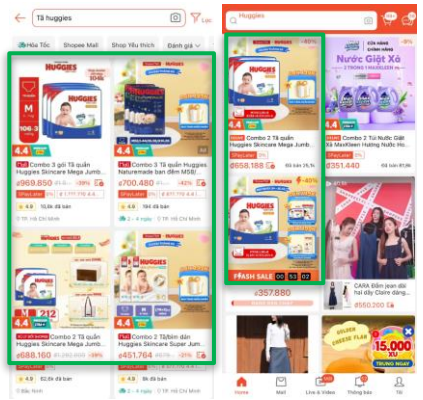
CONTEXT

Effectively leverage key campaign days (Mega, Midmonth, Payday, etc) on E-Commerce with high traffic
& Maximize ad placement coverage by expanding the number of stores

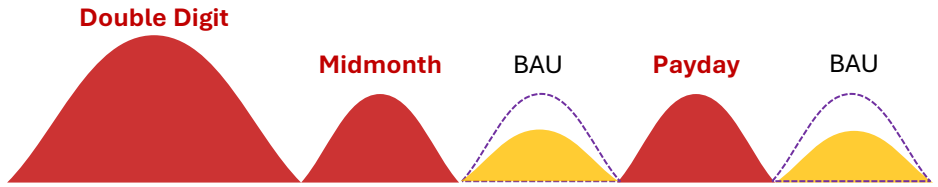
KEY ACTIONS

1 Enhance Huggies's visibility across marketplace on E-commerce

Manage SKU visibility across each store to **ensure comprehensive ad placement coverage**



2 Increase sale occasions and offer exclusive promotion deals



Maximize revenue in Mega campaigns

Create **Super Huggies Day** campaign to gain more GMV in BAU in every month

CHALLENGES

Within the same marketplace, and the same audience pool, how can we minimize duplication and competition between our stores?

In BAU, the traffic volume on marketplace is low. What strategy can we implement to incentivize user purchases during Super Huggies Day?

SOLUTIONS

Winning more visibility while preserving cost efficiency

Create occasion to be more dominant with Super Huggies Days

WINNING MORE VISIBILITY WHILE PRESERVING COST EFFICIENCY

ONSITE SHOPEE

Huggies Official Store

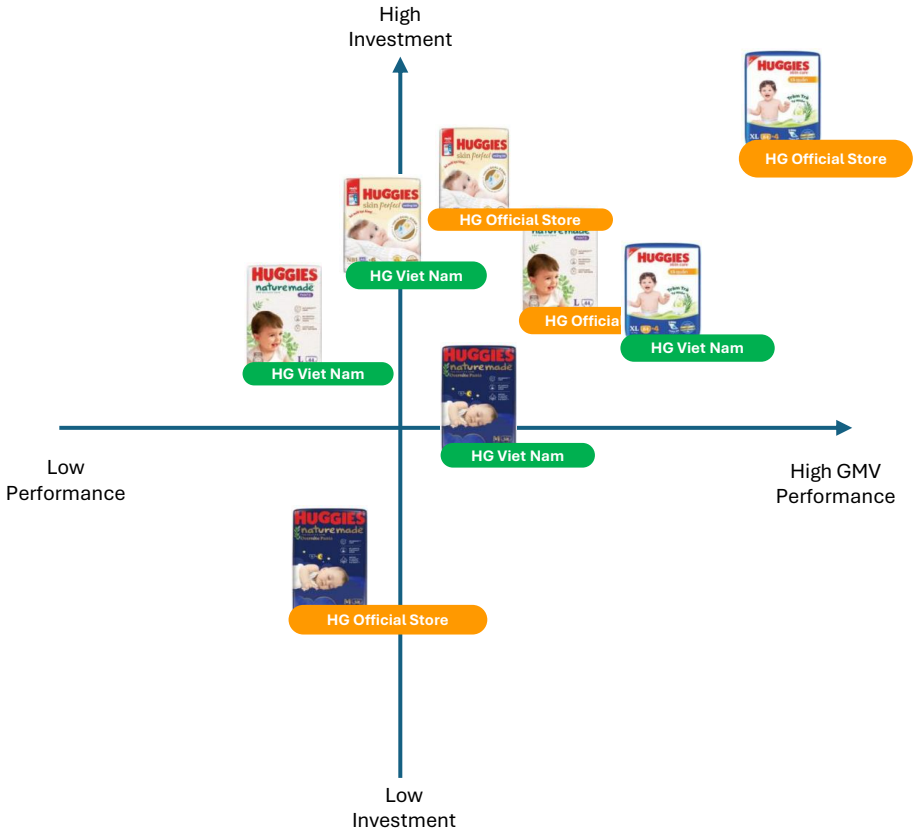
Huggies Viet Nam

Skincare | Naturemade | Skin Pect | Naturemade OverNight

New Product Launching in 2024

With two stores running overlapping product lines, a **strategic investment** approach is essential to **maximize performance while minimizing cannibalization** across SKUs.

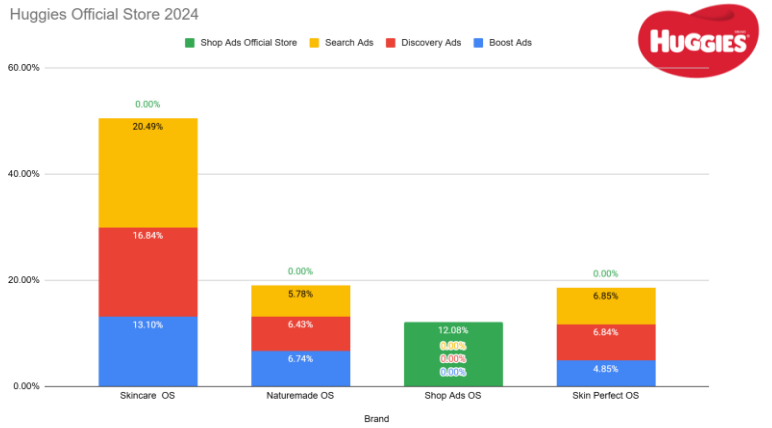
Porfolio Management

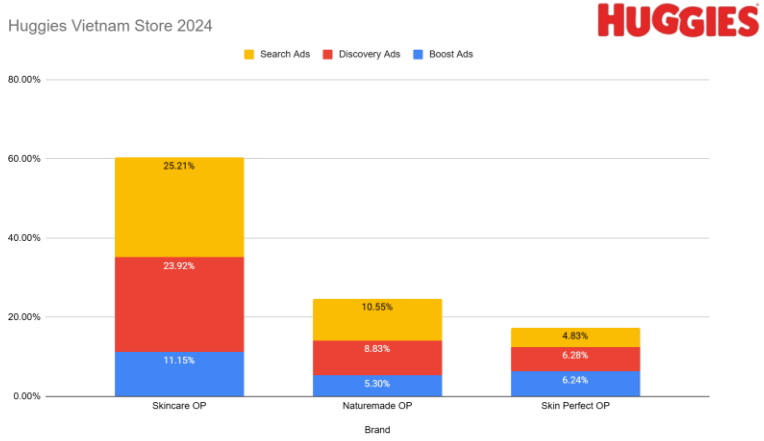


Focus Visibility and Grow HERO variants (Huggies Skincare and Huggies Naturemade)

Boosting New Product Launching (Huggies Skin Perfect, Naturemade Overnight) with competitive pricing advantage

Strategic ads format invesment allocation



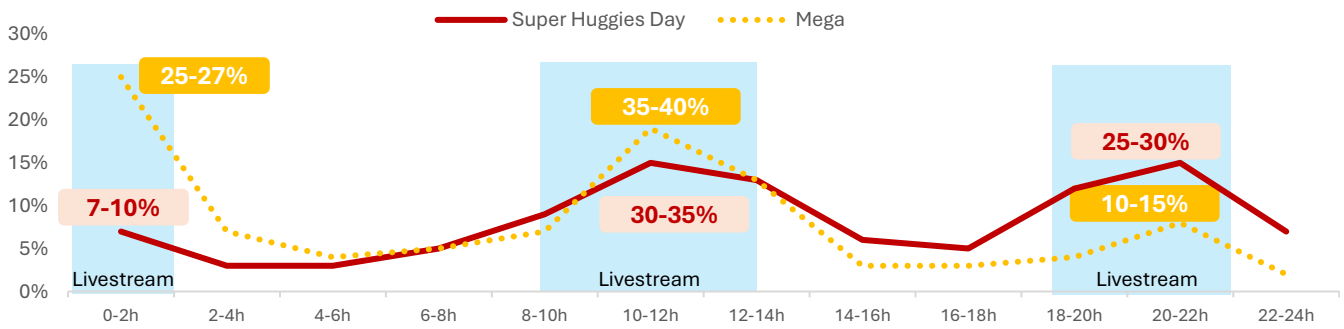


- ✓ Shop Ads in the Official Store are utilized to ensure unique brand trust with a strong historical scale.
- ✓ Skincare investment is maintained to secure hero performance.
- ✓ New products like Skin Perfect OP are pushed for higher visibility through Discovery Ads and Boost Ads.

CREATE OCCASION TO BE MORE DOMINANT WITH SUPER HUGGIES DAYS

ONSITE SHOPEE

Strategic Investment to Capture Winning Moments & Maximize GMV in Supper Huggies Days



Leverage livestream to enhance overall performance

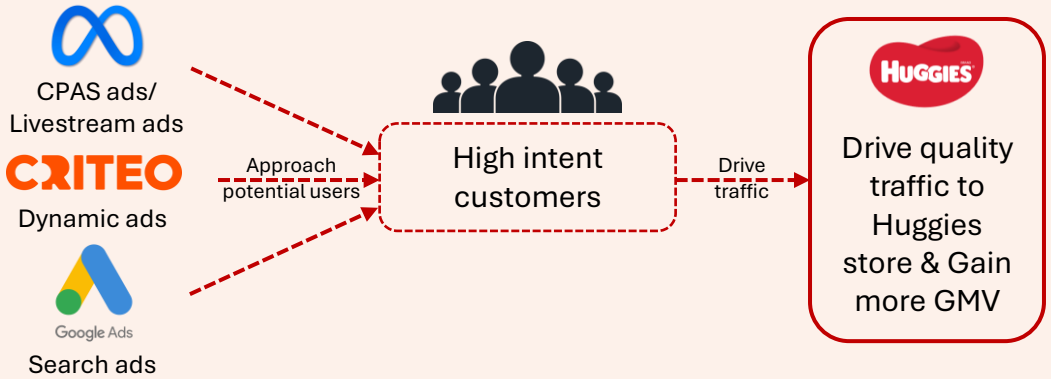
OBJECTIVE	Enhance Visibility and GMV	Maintain visibility and secure ROAS	Maximize Visibility and GMV	Maintain visibility and secure ROAS	Maximize GMV
SKU	Ensure all Hero SKUs are not OOS	Maintain high ROAS SKU	Focus hero SKU and Flash-Sale list	Maintain high ROAS SKU	Focus hero SKU with high ROAS and Flash-Sale list

Test-and-learn revealed a daring realization: In order to maximize GMV, Mega Campaign dominate from 0 to 2 a.m, while Super Huggies Day (HBD) surges late on D-day

Strategic budget allocation for each campaign's peak hours boosts user conversion and delivers explosive results!

OFFSITE

Explore new offsite channels to drive quality traffic for Super Huggies Day



AFFILIATE

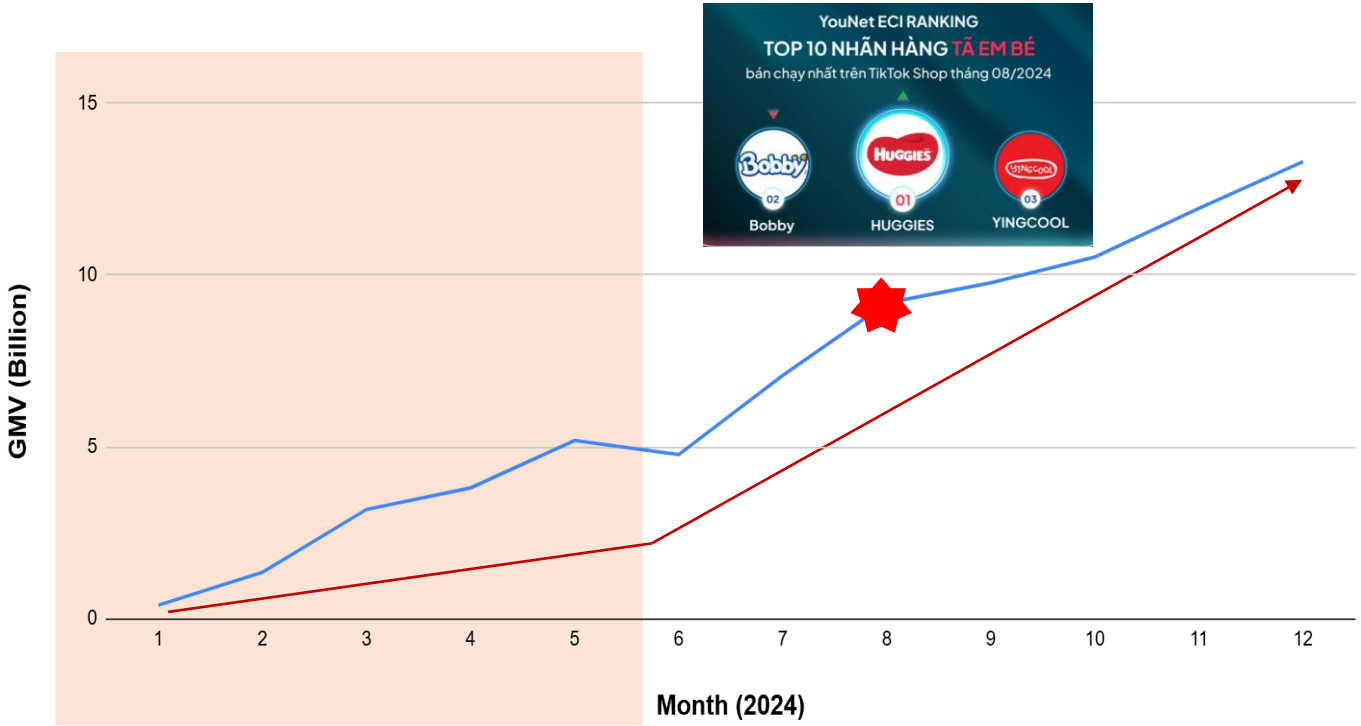
Incentivize creators on Super Huggies Day with bonus commissions & Identify the appropriate %Commission threshold for each variant

Contribute **>50% GMV** with the highest ROAS

Drive 40% GMV with optimal CMS

ACCELERATE ON TIKTOKSHOP BY WINNING 1ST TIME MOM

FROM **THE LATECOMER** TO **THE FRONT-RUNNER** WITHIN **8** MONTHS



Understanding platform dynamics, optimizing ads, and testing product-market fit.

Growth Hacking Strategy – Road to TOP 1 selling Mom&Baby brands on TiktokShop

#1 HUGGIES

BEST SELLING SKU ON TTS

43%

MONTHLY GMV CONTRIBUTION

LIVE

Used as livestream theme on TTS

Avg. 10 videos monthly (~48% videos per month)

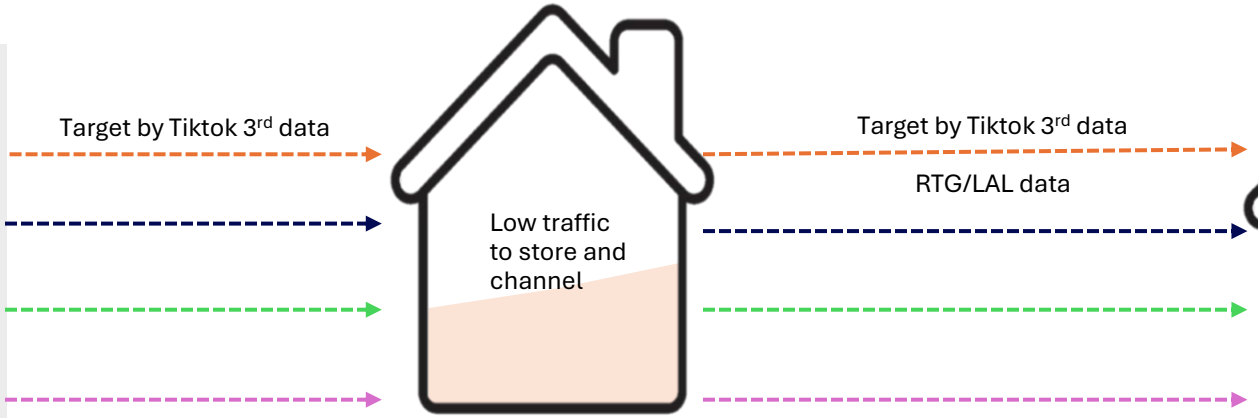
FROM INSIGHT TO GROWTH IMPACT PIPELINE

H1.2024 — **BUILD STORE & CHANNEL TRAFFIC**

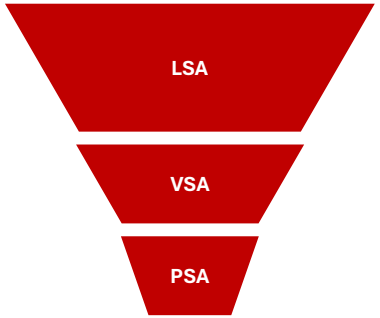
H2.2024 — **UTILIZE TRAFFIC TO SCALE UP STORE GMV**

HOW

- **Audience Signal Targeting**
- **Broaden Affiliate Network**
- **Triggering creative content**
- **Extend Livestream duration in high demanding day**



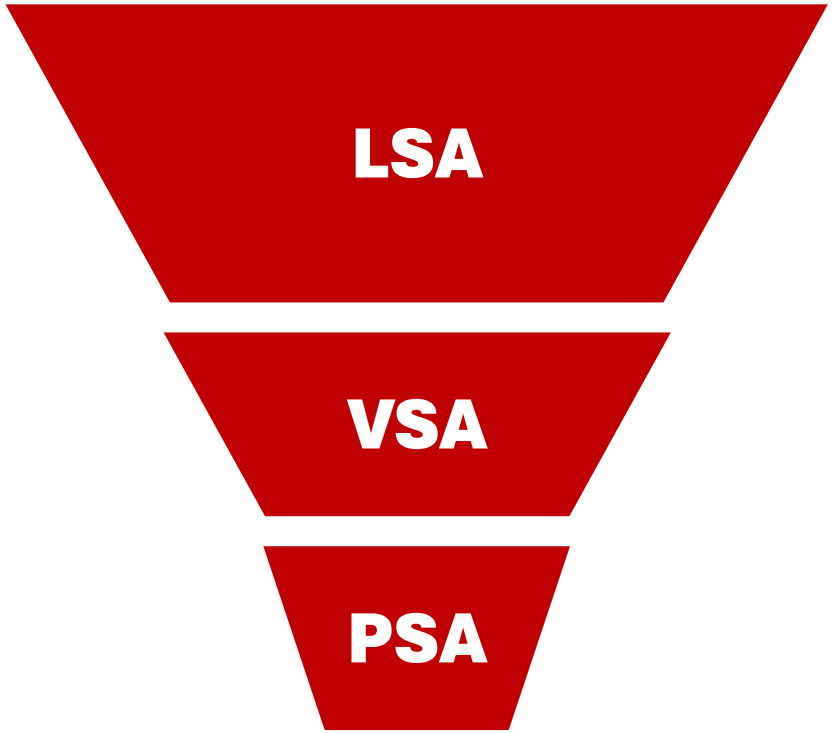
Sufficient traffic to build **audience structure** based on conversion goals



Investment

	H1.2024	H2.2024
LIVE	35%	31%
	43%	34%
	22%	35%

AUDIENCE and BUDGET ALLOCATION



	Budget Allocation	Audience Segment	Optimization Goal
LSA	31%	Prospecting (Broad, LAL): 45% Retargeting: 55%	View, Checkout: 15-20% Purchase: 85%
VSA	34%	Prospecting (Broad, LAL): 40% Retargeting: 60%	View, Checkout: 15-20% Purchase: 85%
PSA	35%	LAL&RTG: 60-70% Broad: 30-40%	Initiates Checkout: 5-7% GMV, Purchase: 93-95%

THANK YOU!